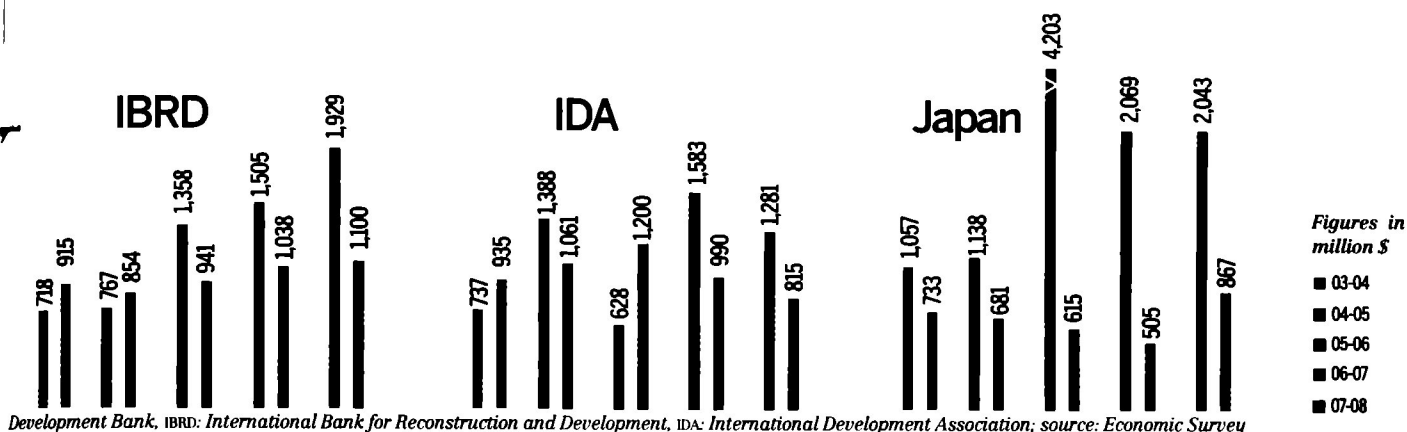




# INEFFICIENCY

grown, usage has declined from 78.65 per cent in 2000-01 to 61 per cent in 2006-07. Worse, as India negotiates more loans, an internal assessment of the Finance Ministry reveals that the government has been paying commitment charges of several hundred crores of rupees every year. Between 2004-05 and 2008-09, the government paid close to Rs 700 crore for the non-disbursed portion of sanctioned loans to the World Bank, the Asian Development Bank (ADB) and some bilateral donors. An estimate of such expenditure since 1991 puts the figure upwards of Rs 1,400 crore. Efficient use of these monies will obviously help push the vision of inclusive growth by putting the economy on a sustainable growth trajectory, creating faster and more productive employment and reducing poverty.

Mercifully some sectors are better at utilising funds. The CAG report shows that power and railways are better than urban development and roads in drawing aid. The unutilised aid in 2007-08 in respect of power stands at Rs 4,710.14 crore. Power has been a priority area for the ADB which has granted a \$450-million loan for the 4,000 MW Mundra Ultra Mega Power Project and for the World Bank which has lent \$180 million to renovate and modernise old, and inefficient coal-fired plants. The unutilised aid for urban development runs at Rs 15,619.86 crore, and that for the roads sector during 2007-08 is Rs 11,709.59 crore. Over 63 per cent of ADB's projects are in the transport and urban development sectors. Others like agriculture, environment and forestry, water supply, sanitation

and water resources too have not withdrawn aid worth Rs 23,428 crore. The Planning Commission has been monitoring and evaluating the delivery of the schemes and, of late, its Deputy Chairman Montek Singh Ahluwalia has expressed concern over the tardiness in implementation.

The question is, since India cannot deploy the resources, why does it need to borrow so much? The country's growth rate has touched new lows at about 5-6 per cent in the fourth quarter of 2008-09, under the spiralling effect of the global financial crisis. Liquidity is tight and every penny counts. "It is a crucial time," says Roberto Zaghera, World Bank country director for India. "India's infrastructure needs are estimated at \$100-150 billion per year with realisations well short of this target. There is a need to

YASBANT NEGI/www.indiatodayimages.com



## WHY INDIA FAILS TO UTILISE FUNDS

- Inefficient handling of land acquisition, site handover, utility shifting, rehabilitation and dispute settlement
- Unavailability of qualified contractors, engineers and consultants with the required domain expertise
- High fiscal deficit limits the ability of states to share costs of infrastructure development
- Poor monitoring and evaluation. There is a paucity of qualified and trained people for this task.